

**RECOMMENDATION:
LONG-TERM BUY
SHORT-TERM CAUTION**

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GDP per capita (US\$) 1999-2024

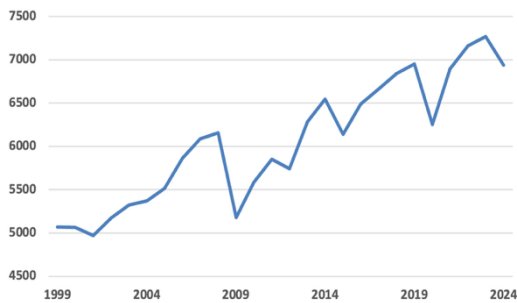


Figure. 1

Inflation (annual %) 1999- 2024

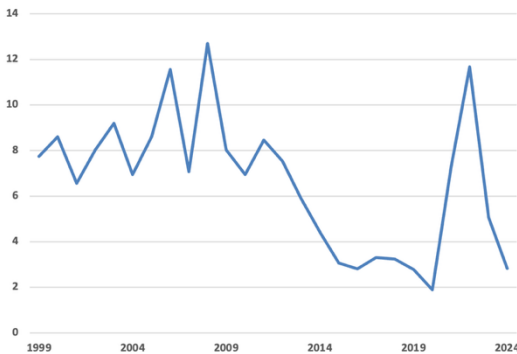


Figure. 2

Investment (% of GDP)

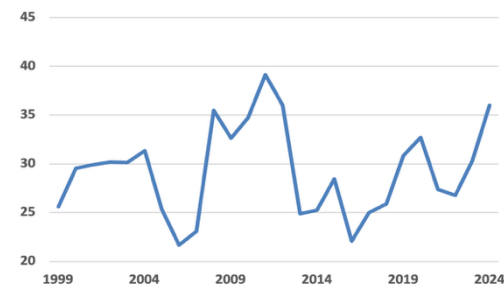


Figure. 3

**Annual GDP Per Capita Growth Annual (%)
1999-2024**

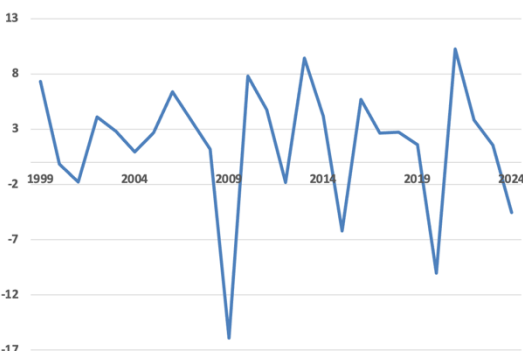


Figure. 4

Summary

Botswana represents an attractive medium to long term investment opportunity, particularly for investors with a tolerance for commodity-linked volatility. The country has strong macroeconomic fundamentals and has historically enjoyed stable positive economic growth, a rarity in Sub-Saharan Africa. As of 2024, Botswana is either contracting or in an early recovery phase according to business cycle analysis, this may present a good opportunity to invest. Additionally, according to the Solow growth model, the country is currently accumulating capital. Botswana's political stability, regulatory quality, rule of law, and government effectiveness are among the strongest on the African continent and compare favorably even with some developed economies. These institutional strengths significantly reduce long term investment risk and support sustained economic performance. The primary risks appear from its high unemployment rate of 23.10% and the country's reliance on the diamond industry which exposes the country to diamond price fluctuations. An investor should invest in the medium to long term and ideally diversify or hedge against any potential volatility from Botswana.

Country Description

Botswana is a landlocked country located in Sub-Saharan Africa with a population of 2.5 million people and has the 6th highest GDP per capita in all of Africa in 2024. Its current GDP is at 19.4 billion USD and it is classified as an upper middle-income economy. Over 80% of Botswana's exports are diamonds meaning that the country is heavily dependent on the diamond industry. The country is the 2nd largest diamond producer in the world and the 8th largest diamond exporter in the world. The diamond industry historically had a positive impact on economic growth in the country and has attributed it to stable positive growth as shown in figure 1, however economic growth is dependent on the diamond industry. Compared to other countries in Sub-Saharan Africa the country has a high level of economic freedom and has the highest credit ratings in all of Africa: S&P BBB and Moody's Baa1 (though Moody's recently downgraded Botswana from A3 to Baa1 and S&P from BBB+ to BBB). Additionally, the country boasts an independent central bank and judiciary. Its government debt-to-GDP ratio is low with 19.6% in 2023. Its fertility rate is 2.73 per woman meaning that Botswana is above the replacement rate and can expect a stable growth in population. In 2023 the HDI was .731 which puts the country in the high human development category.

Macroeconomic Overview

Since 1999, Botswana's GDP has grown at an average annual rate of 3.4%. Its GDP per capita is the 6th highest in all of Africa with 6,937 USD as shown in figure 1. Its 2024 annual inflation sits at 2.8% annually. The country boasts an impressive investment growth of 14% in 2024 which was the 22nd highest in the world and its investment as a percent of GDP sits at 36% which is the 14th highest figure in the world. High investment rates such as these set the country up for long term growth. However, its gross domestic savings (% of GDP) is the 11th highest in Sub-Saharan Africa is only 22.6%, which is moderate but leaves room for improvement. Its current consumption expenditure as a % of GDP is 45.3%, 10% lower than the world average. Botswana currently imports more than it exports as its imports constituted 43% of its GDP in 2024 and exports constituted 27.3% of its GDP. The gap between its domestic savings and investment is also partly financed from its imports abroad hence the larger imports than exports. However, despite strong average growth since 1999, Botswana's GDP growth has been volatile, reflecting its exposure to fluctuations in diamond demand as shown in figure 4. Except for during the coronavirus pandemic, the annual inflation rate has been under control in the last 10 years which shows credible monetary policy and macroeconomic stability. Since 2004, the Bank of Botswana has gradually reduced interest rates from double-digit levels to around 2–3% in recent years (as shown in figure 5), the decline in interest rates reflects the improving macroeconomic conditions and stability (Botswana switched from the bank rate to the monetary policy rate in their officially published data on the 4th of May 2022).

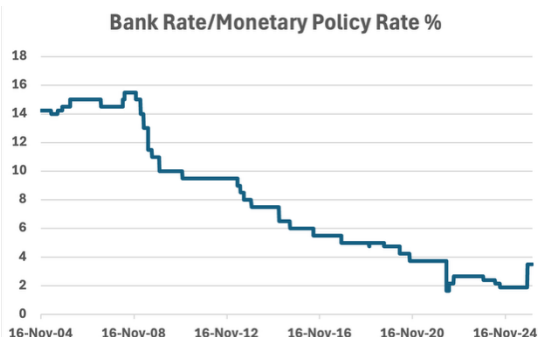


Figure. 5

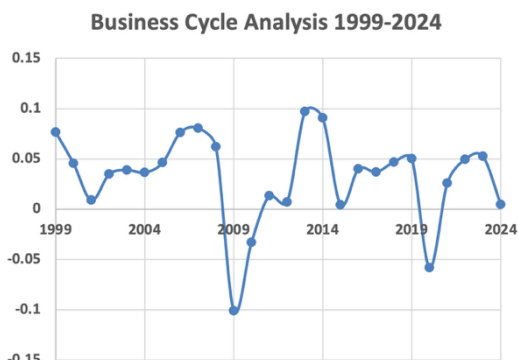


Figure. 6

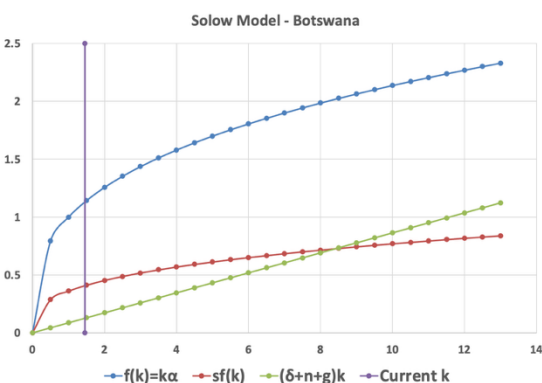


Figure. 7

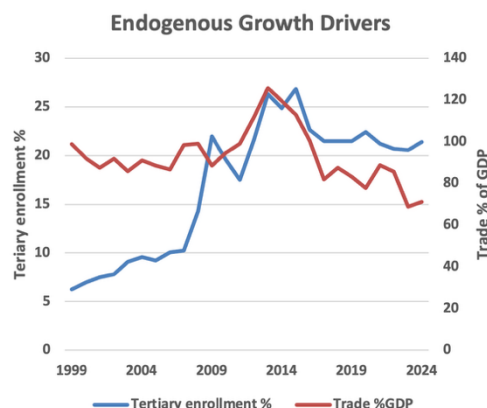


Figure. 8

Business Cycle Analysis

Figure 6 shows us the cyclical deviation of real GDP per capita against its long run trend. As of 2024, it appears that Botswana is currently operating close to its long run trend and is either in a mild contraction or in an early recovery phase as of 2024. Historically, such phases have preceded periods of stronger growth, especially when supported by strong and stable macroeconomics and institutions. Additionally, business cycle fluctuations appear to be strongly linked to external shocks such as the 2008 financial crisis and covid-19 pandemic. The current shock might be caused by the current volatility in the diamond industry. Historically, the country has demonstrated strong recoveries from such periods.

Solow Growth and Endogenous Analysis

The Solow growth model explains long run output per capita which takes into consideration population growth, depreciation, technological progress (exogenous) and capital accumulation. Traditionally, economies with high investment rates (such as Botswana) tend to accumulate capital and grow much faster than those countries which do not have high investment rates. The capital accumulates until it meets the line of depreciation at a point known as the steady state. The steady state can change in events such as a change technology, if there is a higher investment rate and change in population. Since Botswana has a high investment rate of 36% of its GDP, its steady state is higher than many other economies and is currently still converging towards it rapidly. This suggests potential for more medium to long term growth in the future according to the Solow model according to figure 7 as it appears that Botswana is still in the capital accumulation phase as shown in its position in the Solow model with “current k”. However, without any sustained improvements in technology or human capital, the economy may slow as it approaches the current steady state. This brings us to endogenous growth which emphasizes that long run growth can be sustained through human capital, technology, knowledge accumulation, etc. According to figure 8, Botswana has had rising tertiary enrollment rates which would improve the human capital which suggests that the country is investing in skills and education. From an endogenous growth perspective this investment will eventually rise the productivity of labor and capital which will help support a longer-term growth. Additionally, Botswana is very open to trade thanks to its diamond industry, trade is 71% of its GDP in 2024 much higher than the world average of 57% in 2024. The high trade openness can support endogenous growth by allowing technology transfers, knowledge sharing by having access to global markets. Botswana’s historical high growth can be attributed to its integration in the global economy thanks to its openness to trade. The latest figure of R&D expenditure in Botswana was only .56% of its GDP in 2013, comparatively pretty low compared against the global average of 2.67% in 2022 and 1.99% in 2013. This can mean that endogenous growth mostly comes from its investment in human capital and trade openness rather than its own innovation. Botswana appears to rely more on imported technology than its own domestic innovation. As we look at both the Solow and endogenous growth frameworks, we can see that Botswana has promising medium- to long-term growth potential.

Risks

As over 80% of Botswana’s exports are diamonds, Botswana has a significant risk to fluctuations in the diamond industry. According to the diamond index diamond prices have fallen to a record low of 84.2 as of January 2026 from a high of 158.39 in 2022. This most likely represents one of the main reasons for the recent business cycle contraction. This is also due to the fact that there is increased competition in the diamond market with synthetic diamonds which are nearly identical to real diamonds and are significantly cheaper. Additionally, the country has the 5th highest unemployment rate in the entire world of 23.01% in 2024, it has been increasing since 2009 despite higher tertiary enrollment rates. This might be caused by a mismatch of available jobs and the skills of human capital. Additionally, Botswana does not invest much into R&D its domestic innovation is limited and long-term growth largely depends on technology which could limit Botswana’s ability to sustain its high growth rates as it approaches the steady state in the Solow model. Although Botswana has low government debt of 19.6% in 2020, volatility in diamond prices can affect its ability to pay off debt in the long term. Additionally, because of the volatility of the diamond industry, its currency has been depreciating over time compared to stable currencies such as the Euro as shown in figure 10, the currency volatility can affect any investments denominated in the Botswanan Pula. It is important to mention that the currency is not free floating, however it is actually pegged to the special drawing rights currency which is a foreign exchange reserve asset from the International Monetary Fund and the South African Rand. Additionally, the country has recently been downgraded by Moody’s and S&P due to the falling demand and falling prices of natural diamonds, which could erode Botswana’s balance sheets in the future. Despite the risks, many of them are

mitigated by Botswana's strong macroeconomic fundamentals, independent central bank, low public debt, and high sovereign credit ratings relative to its continental peers. The risks can be managed with diversification and hedging, which should preserve Botswana's attractiveness as a hidden gem for investment in Sub-Saharan Africa.

Fiscal Position and Debt

Botswana has a low government debt-to-GDP ratio of 19.6% as of 2020 as previously mentioned, and its macroeconomic conditions and credible institutions allow to have access to financing on favorable terms especially with its high credit ratings from Moody's (Baa1) and S&P (BBB), although the outlook is currently negative (this might be due to the volatility in the diamond industry). These strong fundamentals enhance investor confidence and also would reduce the likelihood of fiscal problems during times of slow down which the country is currently experiencing. Its low annual inflation as shown in figure 2 gives further credibility to the fiscal position of Botswana. All things considered the country does not appear to be at risk of paying off its debt in the short to medium term and appears to be in a strong fiscal position overall.

Institutional Quality and Political Stability

Botswana has some of the best numbers in all of Africa when it comes to its institutional quality and political stability. The country has been a stable outlier in a region that has historically experienced lots of instability. The World Bank ranks Botswana the highest in all of Africa and 28th in the world when it comes to its Political Stability and Absence of Violence/Terrorism index, the index measures countries from -2.5 to 2.5, Botswana received a score of 1.04 shown in figure 11. When it comes to the World Bank's Regulatory Quality index Botswana is the 2nd highest in all of Africa behind Rwanda, it measures the quality of governance in a country and gives a ranking from -2.5 to 2.5, Botswana received a score of .48 as shown in figure 12. When it comes to the World Bank's Rule of Law index, Botswana is again 2nd highest in all of Africa this time behind Namibia with a score of .39 in 2023 (appendix, figure 13), this index like the others give a score from -2.5 to 2.5. The World Bank's Government Effectiveness index measures the quality of public services in a country, the degree of independence of these services from political pressures and the credibility of the government's commitment to these services and policies, the ranking gives a number between -2.5 and 2.5. Botswana was ranked the highest in all of Africa in 2023 with a score of .43 in 2023(appendix, figure 14), this score is higher than Poland's which only had .42 in 2023. As is clearly portrayed the institutional quality and political stability of Botswana is one of its strongest advantages, these advantages lower investor uncertainty and supports long term growth and investment. Botswana is also very unique in that it has never experienced any coup or civil war in its history since independence in 1966, and has consistently had peaceful transitions of power and free elections with low levels of corruption when compared to its continental peers, it is actually tied with Rwanda for the best ranking of the corruption perceptions index on the continent in 2024 with a score of 57/100 ranking both the countries tied at 43rd in the world. Additionally, from a Solow or endogenous growth perspective both high institutional quality and political stability enhance both capital accumulation and growth in productivity, because high institutional quality can improve investment efficiency and also can improve human capital formation, technology adoption and knowledge sharing. Botswana's institutional strengths and political stability help to mitigate its exposure to the external shocks of the diamond industry and global economic downturns, this helps reduce the downsides for investors. However, it is important to mention that though the figures are high for Africa, they also have not been improving according to the indexes from the World Bank, some like the regulatory quality index have been slightly decreasing as shown in figure 12.

Conclusion & Final Recommendation

Botswana presents a compelling long-term investment opportunity supported by strong institutional quality, political stability, and sustained capital accumulation. However, the country's heavy reliance on the diamond industry introduces significant short-term risks, particularly amid declining diamond prices and increasing competition from synthetic alternatives. As a result, Botswana is best suited for long-term investors with a higher risk tolerance, while short-term exposure may remain vulnerable to commodity-driven volatility. A prudent approach would involve gradual or selective investment, with close monitoring of developments in the diamond market and broader external conditions. Entry timing remains critical, and investors may benefit from awaiting stabilization in diamond market dynamics before increasing exposure.

Unemployment, total (% of total labor force) 1999-2024

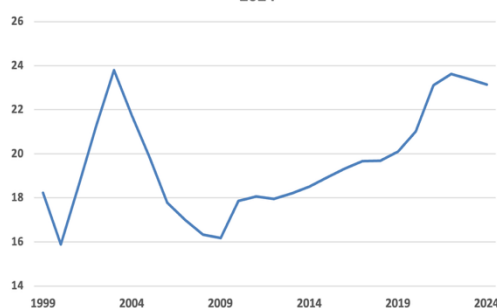


Figure. 9

EUR/BWP Exchange Rate 2005-2026



Figure. 10

Political Stability and Absence of Violence/Terrorism 1999-2023

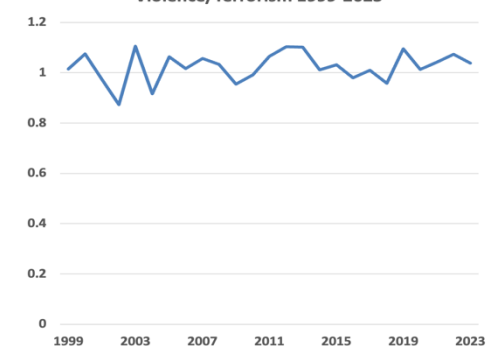


Figure. 11

Regulatory Quality 1999-2023

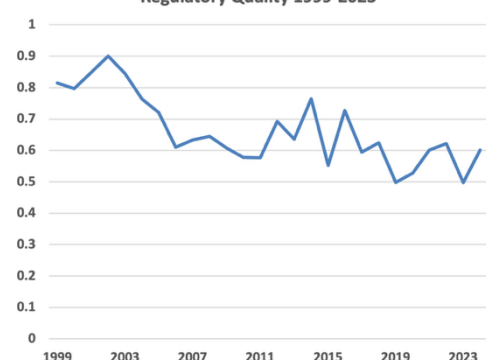


Figure. 12

Rule of Law: Estimate

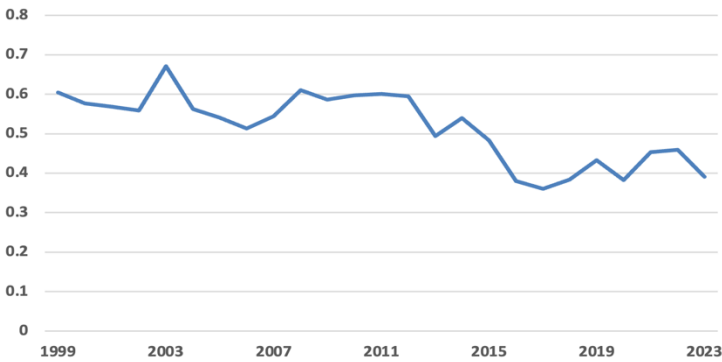


Figure. 13

Solow Model - Botswana

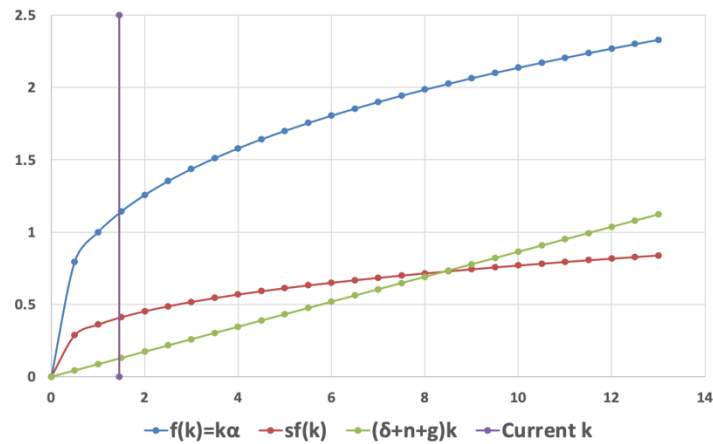


Figure. 15

Access to electricity, urban (% of urban population)

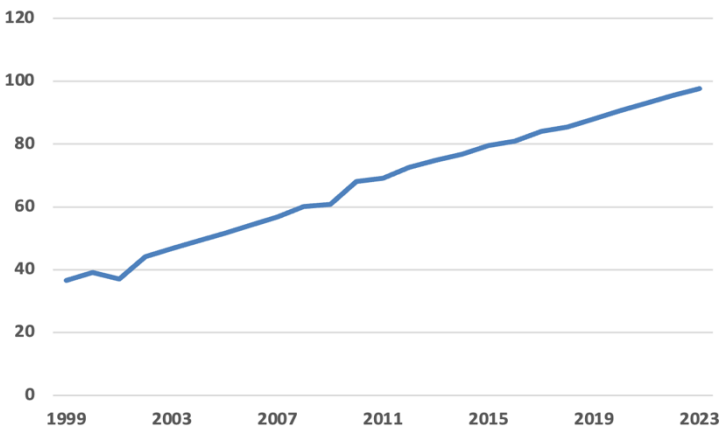


Figure. 17

Life expectancy at birth, total (years)

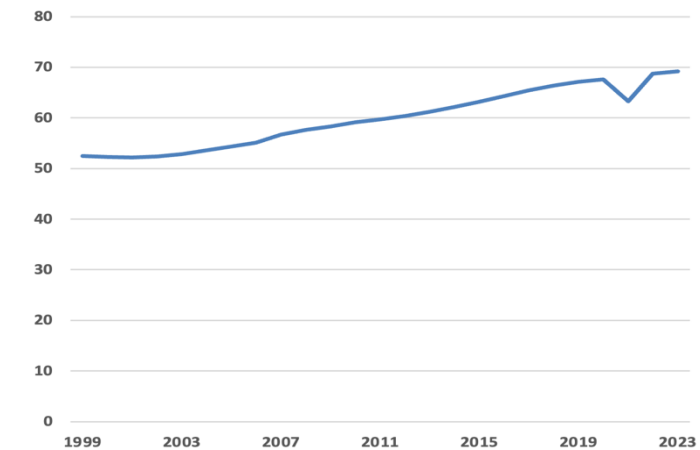


Figure. 19

Government Effectiveness: Estimate



Figure. 14

Labor force participation rate, total (% of total population ages 15+)

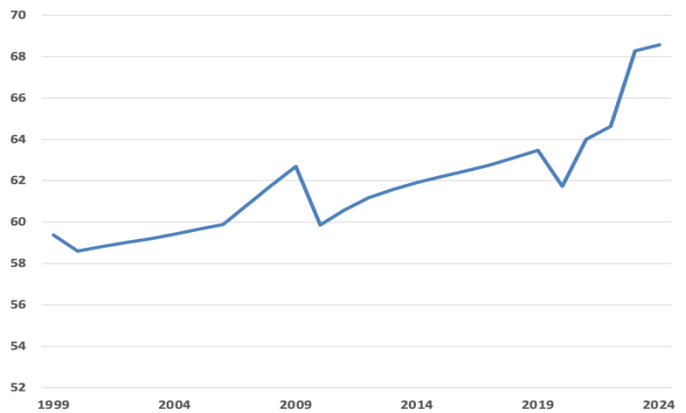


Figure. 16

Access to electricity, rural (% of rural population)

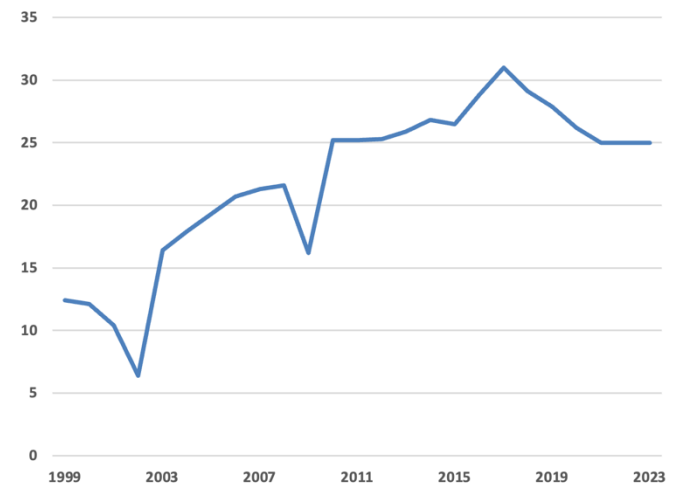


Figure. 18

Access to electricity (% of population)

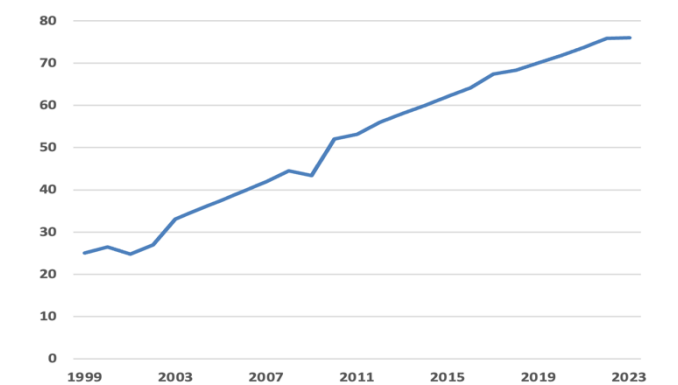


Figure. 20

Net migration

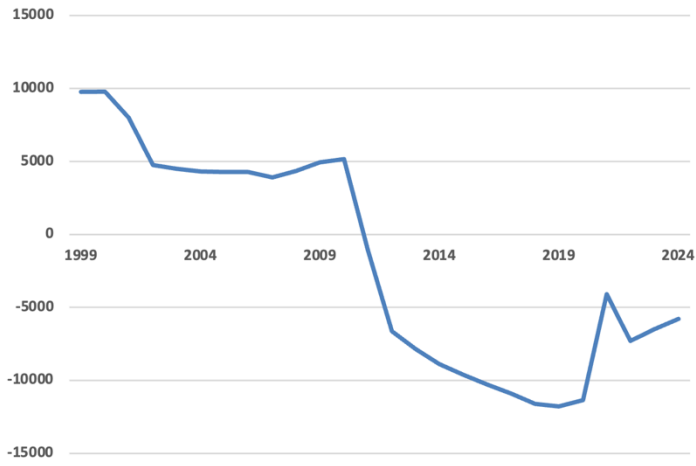


Figure. 21

Gross domestic savings (% of GDP)



Figure. 22

Foreign direct investment, net inflows (% of GDP)

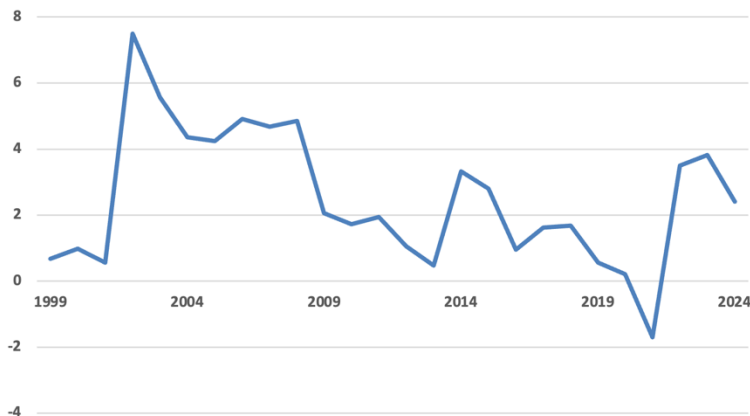


Figure. 23

Foreign direct investment, net inflows (BoP, current US\$)

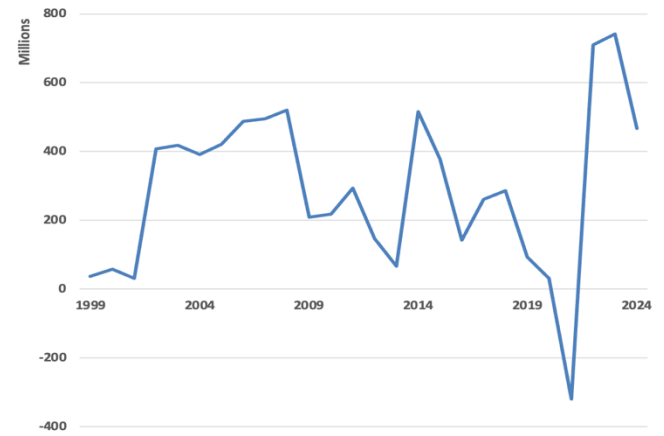


Figure. 24

Exports of goods and services (% of GDP)

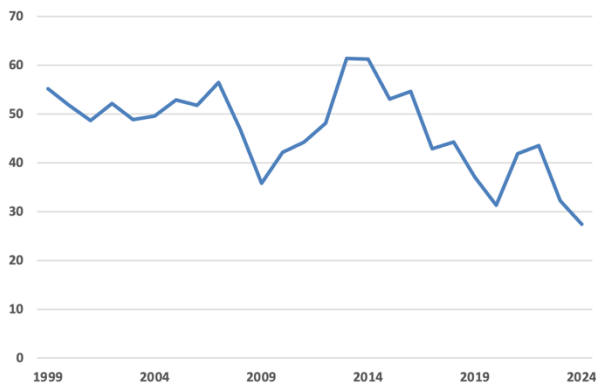


Figure. 25

Imports of goods and services (% of GDP)

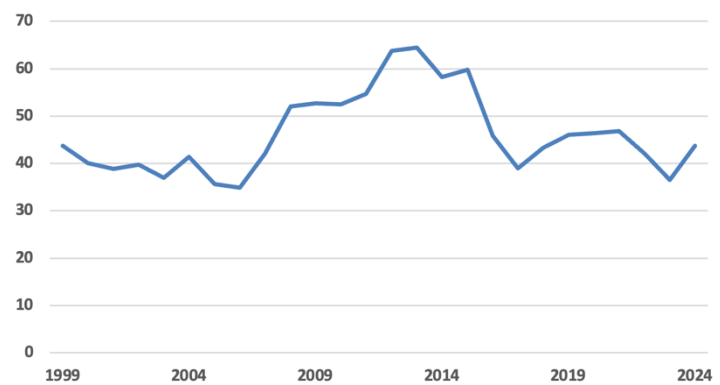


Figure. 26

General government final consumption expenditure (% of GDP)

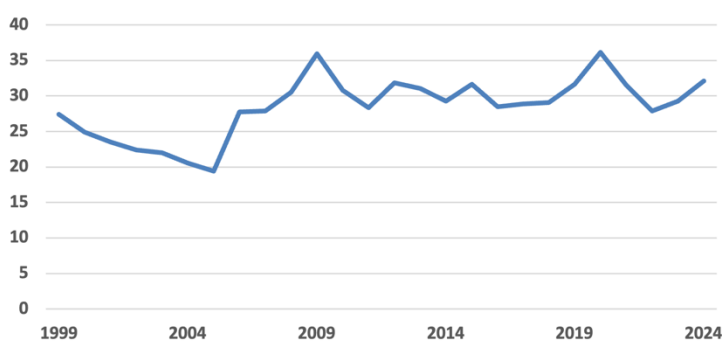


Figure. 27

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